Off-budget borrowings have been around for the past fifteen years. In the years between 2004 and 2010, the government had issued special securities to oil marketing companies (OMCs) and fertilizer companies in lieu of its subsidy obligations. These transactions were carried out through the Public Account. Subsidy paid to FCI through loans from NSSF are transactions similar to subsidy paid to OMCs by issuing oil bonds. These liabilities are reflected as other liabilities of the government in the Statement of Liabilities. There is a liability of Rs 1,62,827 crore towards the oil and fertilizer bonds issued during this period. The repayment of these bonds would start in financial year 2021–22. Accordingly, Budget 2021–22 informs us that the outstanding liability towards special securities issued in lieu of subsidies to OMCs, fertilizer companies and FCI would come down to Rs 1,52,828 crore.

The government resumed the practice of incurring expenditures by way of off-budget liabilities from the fiscal year 2016–17. Development expenditures of various ministries and departments began to be met by issuing FSBs. Such FSBs are raised by SPVs, organizations or financial institutions owned by the government. The government issued a commitment to service such bonds fully by paying interest and principal liabilities. The practice to fund the FCI food subsidy bill partly by lending NSSF funds to FCI also commenced in the year 2016–17.

For the year 2017–18, the government incurred expenditures aggregating about Rs 1.6 lakh crore, or about 1 per cent of GDP, outside the Budget and the CFI. Rs 80,000 crore of investment in the equity of PSBs was made by deducting the expenditure from the corresponding debt receipt of Rs 80,000 crore from the same PSBs by issuing special securities. Rs 65,000 crore of food subsidies was paid by giving loans to FCI from NSSF.

In all, total expenditures of Rs 15,095 crore were met off-budget by issuing these FSBs in 2017–18. FSBs were issued to pay Rs 3105 crore for irrigation projects under the Ministry of Water Resources, River